Cardiff City Football Club Limited

Annual Report and Financial Statements

Year Ended

31 May 2021

Company Number 00109065



Cardiff City Football Club Limited

Company Information

Directors	S Borley D M R M Caramella D C S Chin V K Choo M Dalman J Rasheed (appointed 9 July 2021)
Registered number	00109065
Registered office	Cardiff City Stadium Leckwith Road Cardiff CF11 8AZ
Independent auditors	BDO LLP Statutory Auditor 55 Baker Street London W1U 7EU
Bankers	Barclays Bank plc PO Box 1015 3rd Floor Windsor Court 3 Windsor Place Cardiff CF10 3ZL

Cardiff City Football Club Limited

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Cardiff City Football Club Limited

Non-Executive Chairman's Statement
For the Year Ended 31 May 2021

Non-Executive Chairman's statement

Season 2020/21

We entered season 2020/21 with the realistic possibility that we were likely to go the entire season with matches being played behind closed doors.

Unfortunately for ourselves and football this proved to be case with the pandemic continuing to cause havoc in the world of professional sport for the best part of 15-16 months.

Throughout this time, we continued to take all the steps we could to ensure that costs within the Club are reduced wherever possible and took advantage of such Government financial assistance as was available and we successfully applied for a share of the £200m EFL Loan facility that was made available to all Championships clubs earlier in 2021.

I would reiterate however that the EFL loan is not a grant and has to be repaid over the next 2-3 years from our guaranteed solidarity receivables with repayments commencing in August 2021.

It remains our opinion that the level of support that we as a sport have received from national and devolved governments since the start of and throughout the pandemic has been extremely disappointing and professional and amateur football itself has been left very much to sort out its own problems.

The cost of the pandemic through to the end of the 2020/21 season has included but is not restricted to:

- Season ticket refunds of £945,000;
- Loss of match day revenue and associated income over the entire period;
- Refunds payable by the EPL on their overseas broadcast revenue of near £300m of which we as a Club in receipt of parachute income for 2019/20 had to bear our share, which resulted in a charge against our 2021 results of £0.4m (2020: £2.1m);
- The loss of commercial revenue and sponsorship opportunities as the pandemic hit all businesses;
- The increased costs of working with the necessary "return to play" protocols put in place by the Club following the guidelines set by the league.

From an income recognition view point the cessation of matches in March 2020 and the consequent deferment of the remaining 9 games of the 19/20 season until after the end of the 2020 year has resulted in the income recognition from the parachute income and basic award relating to these games, amounting to £8.8m, being deferred into the year ended 31 May 2021 and included in these accounts.

On the playing side following our challenge for the play offs at the end of season 2019/20 we were confident that we could maintain that drive into the 2020/21 season and be consistently challenging for the top 6 places.

However, our on-field results did not turn out as expected and as a result as reported in my Chairman's statement in last year's financial statements the Club quickly acted to appoint Mick McCarthy as the 1st team manager along with Terry Connor as Assistant Manager in January 2021 for the remainder of the 2020/21 season.

Our immediate challenge was to move away from the imminent danger of being dragged into a relegation struggle at the bottom of the Championship. Not only was this challenge achieved very quickly following the appointment of Mick and Terry we were at one point challenging for a place in the end of season play offs.

Such was the impact made by Mick and Terry the Board moved quickly to secure their services for the futures and were pleased that they both agreed to make their stay at the Club permanent in March 2021.

While we eventually fell short of the play offs the advances made in such a brief period set us up, we believed, to be in position to challenge once again at the top end of the division with a realistic chance of promotion back to the Premier League.

Cardiff City Football Club Limited

Non-Executive Chairman's Statement
For the Year Ended 31 May 2021

Season 2021/22

The start of season 2021/22 coincided with the removal of the pandemic restrictions and the ending of matches behind closed doors and the return of spectators from the first game of the season.

While this was a major positive change for the wellbeing of everyone, the Club, our employees, and our fans there were no guarantees as to how long this situation would remain in place and would be dependent upon how the pandemic reacted to the opening of society with the removal of the accompanying restrictions.

Despite the return of restrictions in December 2021 and January 2022 we sincerely hope that this return to normality is here to stay.

On the playing side while the new season started positively, performance and results soon became disappointing with the Club moving further down the league table and flirting with being dragged into a relegation battle.

The Board retained confidence in Mick McCarthy and his support team for as long as possible but ultimately as the slide down the table continued the board made the decision to part company with Mick McCarthy and his team

The Board moved quickly to promote Steve Morrison to 1st team manager supported by Tom Ramasut and the recruitment of Mark Hudson to complete the management team and spearhead our fight for survival and our climb away from the relegation places.

While the climb has been slow results in the past 5 or 6 games has moved the Club some 15 points above the relegation places.

The Board are confident that a continuation of our recent form will accelerate our climb up the table and safety away from any thought of relegation.

At the same time, we are planning for Season 2022/23 with a transformation in our 1st team squad as a number of our playing staff come to the end of their playing contracts married with the emergence of a number of players from our Academy who are fast becoming integral members of our 1st team squad.

We are continuing to build the infrastructure of the Club to ensure that we achieve our aim of promotion back to the Premier League then we must then ensure that we retain our status for the foreseeable future and break away from the viscous cycle of promotion and relegation.

The pressures created by the pandemic on football finances has obviously meant that we have been heavily reliant upon the continued financial support of our owner Tan Sri Dato' Seri Vincent Tan Chee Yioun throughout this entire period.

As a Board and a Club, we are extremely grateful for the continued support of our owner and without this the future of the Club would look much more precarious.

I must take this opportunity to thank every person at the Club for their unwavering commitment and support throughout the last 18-24 months during what has been an immensely challenging environment and period for all those involved.

Finally, to you the fans your support and loyalty has been fantastic and immensely appreciated and we have all enjoyed your return on match days. Your presence and involvement had been greatly missed by everyone at the Club but especially by the team out there on the pitch.

Thank you,

M Dalman
Non-Executive Chairman

Date 24/02/2022

Strategic Report
For the Year Ended 31 May 2021

Business review

	2021	2020
	£000	£000
Turnover	**55,109**	44,905
Player salary costs	**25,963**	27,880
Profit on sale of player registrations	**2,864**	13,666

The board consider the key performance indicators for the Company to be turnover, result from player trading and player salary costs.

The results show increased turnover from that reported in the prior year accounts directly as a result of the deferral of parachute income and basic award of £8.8m from 2019/20 into 2020/21 to match the actual game profile on the return to play and completion of the season. Without the deferral of income, turnover for 2021 would have been £46,344,000, compared with an adjusted 2020 turnover of £53,670,000.

The Company is reporting an operating loss for the year ended 31 May 2021 of £11,986,000, decreased by £11,257,000 from the £23,243,000 reported loss for the prior year ended 31 May 2020.

While the Company has significant net liabilities, the principal indebtedness at the year end was to the parent company undertaking and the ultimate controlling shareholder.

Principal risks and uncertainties

The principal risks are associated with the performance of the team and the league in which the football club operates, as turnover and costs, particularly those from broadcasting and player costs respectively, vary substantially between the English Premier League and the Championship. The Company manages the impact of that risk through close control of its direct costs, relative to its forecast income.

Credit risk relates primarily to trade debtors from its commercial activities. The Company monitors credit risk closely and its exposure to rate risk is minimal given any borrowings are financed by ultimate owner loans.

Outlook

Our aim remains to regain our status in the English Premier League and maintain this for the foreseeable future.

Engagement with stakeholders

Section 172 of the Companies Act 2006 requires the club's board of directors to take into consideration the interests of stakeholders and other matters in their decision making. The club's board continues to ensure the interests of all employees, supporters, partners, local community and other stakeholders are always given the fullest of consideration, and as a club and charity we have a number of initiatives aimed at regularly engaging with each of these groups.

Summary of how the Board engages with our stakeholders

Stakeholder group	Why we engage	How we engage	What matters to the group
Shareholders	• The continued support of our shareholders is fundamental to the long- term success of the football club • To ensure our shareholders have a clear understanding of the Club's strategy, business model and culture and the competitive sporting field in which we operate • To create value for our shareholders by generating strong and sustainable results that translate into promoting the success of the football club out on the playing field	• Annual Report and Financial Statements • Company website	• Creating Long-term value by delivering success out on the playing field • Financial stability • Transparency • Ethics and sustainability
Employees	• Long-term success is predicated on the commitment of our workforce to the Club's values • To ensure that we are fostering an environment that our employees are happy to work in and that best supports their wellbeing • We believe CCFC is a great place to work and we can only deliver value to our shareholders and success to our fan base through the hard work and commitment and well-being of our employees	• Group Intranet • The Directors and senior management teams involvement with our employees on a regular basis with attendance at the CCFC stadium, the 1st team training ground and the Academy throughout the year on match and non-match days	• Fair employment • Fair pay and benefits • Diversity and inclusion • Training, development and career opportunities • Health and safety • Responsible use of personal data • Environment • Ethics and sustainability • As a result of the outbreak of the pandemic in early 2020 the Club has instituted a work from home policy for all employees and for those employees unable to carry out their duties from home created as safe an environment at work as possible with comprehensive return to work policy and procedures

Stakeholder group	Why we engage	How we engage	What matters to the group
Fan and supporter base	• To foster and build long-term lasting relationships with our loyal fan base directly and via the various supporter representation bodies including the Supporters Club and Supporters Trust	• Regular meetings and fan forums involving the Directors and Club representatives from across all areas of the Club throughout the football season.	• Pride that our fan base feels in the Club • Not to take that continued support for granted
	• To provide the best facilities, we can for our disabled supporters by offering a number of reasonable adjustments based on individual needs making the experience inclusive for all our supporters	• Appointed a Disability Access Officer who is available to offer advice and support at any time before, during and after the match.	
Suppliers	• Our suppliers are fundamental to the delivery of the operational infrastructure that is crucial to ensuring the success of our performance on the playing field • Suppliers must demonstrate that they operate in accordance with recognised standards that uphold human rights and safety, prohibit modern slavery and promote sustainable sourcing	• Regular performance reviews of all key supply chain partners for total reliability in product delivery	• Fair trading and payment terms • Anti-bribery • Ethics and slavery • Environment and sustainable sourcing
Community and environment	• We aspire to be responsible members of our community • We are committed to minimising the impact of our business operations on the environment • The community and environment are also important to our workforce, fan base and shareholders	• CCFC is proactive in its corporate responsibility to the local and wider community in which we work • We work closely with the Cardiff City FC Community Foundation the official charity of CCFC, to support children, young people, and families in S. Wales to achieve their full potential and encourage employee involvement in the community projects and programmes	• Charitable donations and sponsorships • Support to the Cardiff City Football Club Community Foundation, our official charity • Energy usage • Recycling • Waste management

Key Board Decisions

During the year, the Board made key decisions that are considered to be in the interests of the overall success of the Company. These decisions have impacts on certain stakeholder groups that have, to the extent considered appropriate by the Board, been reflected in the decision making process.

During FY21, having already made the decision to furlough certain staff in FY20, the board focussed on progressing with its normal business model to the extent possible during this Covid impacted period and invested, where funds were available, in the playing squad and management team in order to promote the overall success of the club. There were no specific decision that the board consider appropriate for disclosure within this report that meet the definitions of S-172 key board decisions.

This report was approved by the board on 25 February 2022 and signed on its behalf.

V K Choo
Director

Directors' Report
For the Year Ended 31 May 2021

The directors present their report and the financial statements for the year ended 31 May 2021.

Principal activity

The principal activity of the Company is that of a professional football club incorporating the operation of a multi-use sports stadium.

Going concern

In assessing the appropriateness of the going concern assumption, the Directors have produced detailed cash flow forecasts which extend to the end of the 2022/2023 football season.

It is acknowledged that the global and UK outbreak of Covid-19 in early 2020 has had a profound impact on the Company and the Group for the period since that date and right through to the date of these accounts being reported on.

On 31 May 2021, the Company had net liabilities of £142m and net current liabilities of £204m of which £81.8m was owed to shareholders and connected parties.

As noted in the strategic review, as a result of the pandemic there was a temporary cessation of the 2019/20 football season and although the postponed matches recommenced in June 2020 and season 2020/21 commenced as normal from a match timing perspective all games remained being played behind closed doors. This has had a significant impact on the Club's match day income generation since the outbreak of the pandemic and has continued for the entirety of season 2020/21.

As such the directors continued with the various proactive measures introduced in 2020 for season 2020/21 to partially mitigate this impact, including cost review and control mechanisms and utilisation of the UK Government Job Retention Scheme for its employees as required.

The resumption of competitive football in June 2020 allowed the Club to fulfil its fixtures for the remaining games of season 2019/20 and the entirety of season 2020/21 and also allowed the EFL to continue to deliver the league, and therefore the associated central revenues.

At the time of issuing these accounts season 2021/22 commenced with the removal of most pandemic restrictions, the ending of behind closed doors and the return of spectators from the first game of the season. While there are no guarantees that this situation will remain in place and will be dependent upon how the pandemic reacts to the opening of society with the removal of the accompanying restrictions, this will undoubtedly improve the Company's trading position for the season ahead and the future.

Despite this return to a more normal match day operation, the Club has continued to look at secondary income generation through online commercial activity and the hiring out of the stadium to other organisations, which will continue while we build up to pre pandemic levels of match day attendance and match day income.

Considering the ongoing operating losses along with the impacts both actual and potential of COVID 19, the directors have modelled various forecast scenarios which indicate that the Company will be required to secure additional shareholder funding which is not yet guaranteed. This represents a material uncertainty that may cast significant doubt over the Club's ability to continue as a going concern.

However, with both the resumption of EFL activities under pre-pandemic operations, actions taken by the Directors regarding significant financial and operational adjustments and a non binding letter of support from the principal shareholder, it is the opinion of the directors that the club will remain solvent for the foreseeable future.

As such, while there will always remain inherent uncertainty, a gradual return to the Club's previous financial position is expected in the medium/long term and the Directors have therefore concluded that it is appropriate for the financial statements to be prepared on the going basis.

The financial statements do not include any adjustments that would result if the going concern basis of preparation were to become no longer appropriate.

Policy on payment of creditors

The Company values its relationship with its many suppliers. As part of meeting its obligations under each purchase transaction. the Company's policy is to pay amounts due for settlement in accordance with the negotiated terms of trade.

Trade payables at 31 May 2021 represented 22 days of annual purchases (2020: 25). This figure excludes creditors in respect of player purchases, which are paid on the date when payment is contractually due.

Results and dividends

The loss for the year, after taxation, amounted to £11,007,000 (2020: loss £11,681,000).

No dividends were declared or paid during the year (2020: £nil).

Directors

The directors who served during the year were:

S Borley
D M R M Caramella
D C S Chin
V K Choo
M Dalman

Since the year end, J Rasheed was appointed on 9 July 2021.

Professional indemnity

The Group maintains Directors and Officers liability insurance, which gives appropriate cover against any legal action that may be brought against the Company's directors.

Internal control and risk management

The directors are responsible for the Company's system of internal financial control. Although no system of internal financial control can provide absolute assurance against material misstatement or loss, the Company's system is designed to provide reasonable assurance that problems are identified on a timely basis and dealt with appropriately.

In carrying out their responsibilities the directors have put in place a framework of controls to ensure as far as possible that ongoing financial performance is monitored in a timely manner, that corrective action is taken and that risk is identified as early as practically possible, and they have reviewed the effectiveness of internal financial control.

The Board, subject to delegated authority, review capital investment, player transactions, additional borrowing facilities, guarantees and insurance arrangements.

A review of the business and summary of risks and uncertainties is included in the Strategic Report.

Future developments

A review of future developments has been covered in the Non-Executive Chairman's report.

Streamlined Energy and Carbon Reporting

UK Greenhouse gas emissions and energy use data for the period 1 June 2020 to 31 May 2021	2020/21	2019/20
Energy consumption used to calculate emissions (kWh)	4,170,022	4,883,681
Energy consumption breakdown (kWh) – optional:		
• Gas	1,181,881	1,515,081
• Electricity	2,988,141	3,368,600
• Transport fuel	-	-
Scope 1 emissions in metric tonnes C02e		
Gas consumption	216.47	278.58
Owned transport	-	-
TOTAL SCOPE 1	216.47	278.58
Scope 2 emissions in metric tonnes C02e		
Purchased electricity	634.47	785.36
Scope 3 emissions in metric tonnes C02e		
Business travel in employee-owned vehicles	-	-
Total gross emissions in metric tonnes C02e	850.94	1,063.94
Intensity ratio Tonnes C02e - per full time employee (2021: 184)	4.62	5.09

Quantification and reporting methodology

We have followed the 2019 HM Government Environmental Reporting Guidelines. We have also used the GHG Reporting Protocol – Corporate Standard and have used the 2021 UK Government's Conversion Factors for Company Reporting.

Intensity measurement

The chosen intensity measurement ratio is total gross emissions in metric tonnes C02e per full time employee.

Measures taken to improve energy efficiency

We have taken the following measures to improve our energy efficiency:-

Continued from prior year

- Continued to implement a change programme where LED lighting has been installed throughout the Stadium;
- Night security continue to perform a lock down programme where all lighting and air conditioning units are turned off and powered down.

Implemented

- Switch from petrol to electric mowers;
- Introduced the Sharing of Energy use Tracker and locally held information with resultant reduction in energy use;
- Reduction in flights for first team away match travel.

Planned

- Ongoing - investigating the viability of installing electric vehicle charging points;
- Imminent - introduction of recycling bins (paper, cardboard and plastic);
- Installation of plumbed in water fountains to reduce single use plastic – planned for 2022/23;
- All department heads have been tasked with developing initiatives to reduce the Club's carbon footprint;
- Working with the EFL to meet the "Green Clubs Scheme" that will hopefully help to reduce the club's Carbon Footprint;
- Other future initiatives will include the design of the facilities at the new Academy site.

In conjunction with our Stadium catering partners, Levy UK, introducing our joint "climate promise roadmap" including initiatives around:

- E-crackers for guests to reduce waste;
- Flawsome canned drinks have been introduced in hospitality (Wonky fruit & vegetable drinks);
- Partnering with Fare-Share Cymru to reduce food waste;
- Commitment to buy locally and seasonally;
- Sustainability project to look at phasing out of the use of single-use plastics;
- Complete Stadium review of all areas in accordance with the carbon reduction roadmap to make improvements in areas such as packaging, disposable items, drinking water availability and recycling.

Disclosure of information to auditors

Each of the persons who are directors at the time when this Directors' Report is approved has confirmed that:

- so far as the director is aware, there is no relevant audit information of which the Company's auditors are unaware, and
- the director has taken all the steps that ought to have been taken as a director in order to be aware of any relevant audit information and to establish that the Company's auditors are aware of that information.

Post balance sheet events

Post balance sheet events have been disclosed in note 28.

Auditors

Under section 487(2) of the Companies Act 2006, BDO LLP will be deemed to have been reappointed as auditors 28 days after these financial statements were sent to members or 28 days after the latest date prescribed for filing the accounts with the registrar, whichever is earlier.

This report was approved by the board on 25 February 2022 and signed on its behalf.

V K Choo
Director

Directors' Responsibilities Statement
For the Year Ended 31 May 2021

The directors are responsible for preparing the Strategic Report, the Directors' Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with applicable law and United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice), including Financial Reporting Standard 102 'The Financial Reporting Standard applicable in the UK and Republic of Ireland'. Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period.

In preparing these financial statements, the directors are required to:

- select suitable accounting policies for the Company's financial statements and then apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements;
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and to enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the Company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

Independent Auditor's report to the members of Cardiff City Football Club Limited

Opinion

In our opinion the financial statements:

- give a true and fair view of the state of the Company's affairs as at 31 May 2021 and of its loss for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

We have audited the financial statements of Cardiff City Football Club Limited ("the Company") for the year ended 31 May 2021 which comprise the statement of comprehensive income, the statement of financial position, the statement of changes in equity and notes to the financial statements, including a summary of significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including Financial Reporting Standard 102 The Financial Reporting Standard applicable in the UK and Republic of Ireland (United Kingdom Generally Accepted Accounting Practice).

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence

We are independent of the Company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements.

Material uncertainty related to going concern

We draw attention to note 2.3 to the financial statements which describes how the ability of the Company to continue as a going concern is affected by ongoing losses and the potential impacts of the COVID-19 pandemic. The club is funded by its principal shareholder and various forecast scenarios indicate that the Company will be required to secure additional funding that is not guaranteed. These events indicate that a material uncertainty exists that may cast significant doubt on the Company's ability to continue as a going concern.

In auditing the financial statements, we have concluded that the Directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

Our responsibilities and the responsibilities of the directors with respect to going concern are described in the relevant sections of this report.

Our opinion is not modified in respect of this matter.

Other information

The directors are responsible for the other information. The other information comprises the information included in the annual report other than the financial statements and our auditor's report thereon. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.

Our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the course of the audit, or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material

misstatements, we are required to determine whether this gives rise to a material misstatement in the financial statements themselves. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Other Companies Act 2006 reporting

In our opinion, based on the work undertaken in the course of the audit:

- the information given in the Non-Executive Chairman's statement, Strategic report and Directors' report for the financial year for which the financial statements are prepared are consistent with the financial statements; and
- the Non-Executive Chairman's statement, Strategic report and Directors' report have been prepared in accordance with applicable legal requirements.

In the light of the knowledge and understanding of the Company and its environment obtained in the course of the audit, we have not identified material misstatements in the Non-Executive Chairman's statement, Strategic report and Directors' report.

We have nothing to report in respect of the following matters in relation to which the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of Directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Responsibilities of directors

As explained more fully in the Statement of Directors' Responsibilities, the Directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the Directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Directors either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists.

Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

Extent to which the audit was capable of detecting irregularities, including fraud

Irregularities, including fraud, are instances of non-compliance with laws and regulations. We design procedures in line with our responsibilities, outlined above, to detect material misstatements in respect of irregularities, including fraud. The extent to which our procedures are capable of detecting irregularities, including fraud is detailed below:

Based on our understanding and accumulated knowledge of the Company and the sector in which it operates we considered the risks of acts by the Company which were contrary to applicable laws and regulations, including fraud, and whether such actions or non-compliance might have a material effect on the financial statements. These included but are not limited to those that relate to the form and content of the financial statements, such as accounting policies applied, the Companies Act 2006, relevant taxation legislation, Health and Safety and the Bribery Act 2010.

We made enquiries of management with regards to compliance with the above laws and regulations and corroborated any necessary evidence to relevant information, for example, minutes of the Board of Directors meetings and correspondence between the Company and its solicitors. Our tests included agreeing the financial statements disclosures to underlying supporting documentation and enquiries with management.

We determined that the principal risk were related to inappropriate journals entries, management bias in accounting estimates and revenue recognition. Our audit procedures included but were not limited to:

- Agreement of the financial statement disclosures to underlying supporting documentation;
- Challenging assumptions and judgements made by management in their significant accounting estimates, in particular those relating to the carrying value of player registrations including discounting of payables and receivables and potential impairments;
- Identifying and testing manual journal entries, in particular journal entries posted to revenue and journals with unusual account combinations;
- Testing a sample of revenue transactions to signed contracts and other third party documentation to ensure they are recorded to appropriate amounts and in the correct period;
- Discussion held with management and those charged with governance, including consideration of known or suspected instances of non-compliance with laws and regulations and fraud;
- Review of minutes of board meetings from throughout the year; and
- Obtaining an understanding of the control environment in monitoring compliance with laws and regulations.

Our audit procedures were designed to respond to risks of material misstatement in the financial statements, recognising that the risk of not detecting a material misstatement due to fraud is higher than the risk of not detecting one resulting from error, as fraud may involve deliberate concealment by, for example, forgery, misrepresentations or through collusion.

There are inherent limitations in the audit procedures performed and the further removed non-compliance with laws and regulations is from the events and transactions reflected in the financial statements, the less likely we are to become aware of it.

A further description of our responsibilities is available on the Financial Reporting Council's website at: https://www.frc.org.uk/auditorsresponsibilities. This description forms part of our auditor's report.

Use of our report

This report is made solely to the Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members as a body, for our audit work, for this report, or for the opinions we have formed.

DocuSigned by:
Ian Clayden
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Ian Clayden (Senior Statutory Auditor)
For and on behalf of BDO LLP, Statutory Auditor
London
United Kingdom

28 February 2022

BDO LLP is a limited liability partnership registered in England and Wales (with registered number OC305127).

Cardiff City Football Club Limited

Statement of Comprehensive Income
For the Year Ended 31 May 2021

	Note	2021 £000	2020 £000
Turnover	4	**55,109**	44,905
Cost of sales		**(36,774)**	(34,845)
Gross profit		**18,335**	10,060
Administrative expenses		**(30,722)**	(33,727)
Other operating income	5	**401**	424
Operating loss	6	**(11,986)**	(23,243)
Profit on disposal of player registrations		**2,864**	13,666
Interest receivable and similar income	10	**1**	25
Interest payable and expenses	11	**(1,886)**	(2,129)
Loss before tax		**(11,007)**	(11,681)
Tax on loss	12	**-**	-
Loss for the financial year		**(11,007)**	(11,681)
Other comprehensive income for the year			
Deferred tax on revaluation		**(812)**	(271)
Other comprehensive income for the year		**(812)**	(271)
Total comprehensive income for the year		**(11,819)**	(11,952)

The notes on pages 19 to 40 form part of these financial statements.

All activities derive from continuing operations.

Cardiff City Football Club Limited

Registered number:00109065

Statement of Financial Position
As at 31 May 2021

	Note		2021 £000		2020 £000
Fixed assets					
Intangible assets	13		**10,507**		24,202
Tangible assets	14		**79,981**		82,491
			90,488		106,693
Current assets					
Stocks	15	**216**		207	
Debtors: amounts falling due after more than one year	16	**537**		5,925	
Debtors: amounts falling due within one year	16	**15,155**		13,914	
Bank and cash balances		**1,765**		2,388	
		17,673		22,434	
Creditors: amounts falling due within one year	17	**(222,141)**		(229,925)	
Net current liabilities			**(204,468)**		(207,491)
Total assets less current liabilities			**(113,980)**		(100,798)
Creditors: amounts falling due after more than one year	18		**(3,871)**		(5,883)
Provisions for liabilities					
Deferred tax	20	**(3,385)**		(2,573)	
Provisions	21	**(20,540)**		(20,703)	
			(23,925)		(23,276)
Net liabilities			**(141,776)**		(129,957)

Cardiff City Football Club Limited

Registered number:00109065

Statement of Financial Position (continued)
As at 31 May 2021

	Note	2021 £000	2020 £000
Capital and reserves			
Called up share capital	22	**2,016**	2,016
Share premium account	23	**926**	926
Revaluation reserve	23	**49,432**	50,244
Profit and loss account	23	**(194,150)**	(183,143)
		(141,776)	(129,957)

The financial statements were approved and authorised for issue by the board and were signed on its behalf by:

V K Choo
Director

Date: 25 February 2022

The notes on pages 19 to 40 form part of these financial statements.

Cardiff City Football Club Limited

Statement of Changes in Equity
For the Year Ended 31 May 2021

	Called up share capital	Share premium account	Revaluation reserve	Profit and loss account	Total equity
	£000	£000	£000	£000	£000
At 1 June 2019	2,016	926	50,515	(171,462)	(118,005)
Comprehensive expense for the year					
Loss for the year	-	-	-	(11,681)	(11,681)
Deferred tax on revaluation	-	-	(271)	-	(271)
Total comprehensive expense for the year	-	-	(271)	(11,681)	(11,952)
At 1 June 2020	2,016	926	50,244	(183,143)	(129,957)
Comprehensive expense for the year					
Loss for the year	-	-	-	(11,007)	(11,007)
Deferred tax on revaluation	-	-	(812)	-	(812)
Total comprehensive expense for the year	-	-	(812)	(11,007)	(11,819)
At 31 May 2021	2,016	926	49,432	(194,150)	(141,776)

The notes on pages 19 to 40 form part of these financial statements.

1. General information

The Company is a United Kingdom private company limited by shares. It is both incorporated and domiciled in England and Wales. The registered office address is Cardiff City Stadium, Leckwith Road, Cardiff, CF11 8AZ.

These financial statements are presented in Pounds Sterling (GBP), as that is the currency in which the majority of the Company's transactions are denominated. They comprise the financial statements of the Company for the year ended 31 May 2021 and are presented to the nearest thousand pound (£'000).

The Company has determined that GBP is its functional currency, as this is the currency of the economic environment in which the Company predominantly operates.

The principal activity of the Company during the year was that of a professional football club incorporating the operation of a multi-use sports stadium.

2. Accounting policies

2.1 Basis of preparation of financial statements

The financial statements have been prepared under the historical cost convention unless otherwise specified within these accounting policies and in accordance with Financial Reporting Standard 102, the Financial Reporting Standard applicable in the UK and the Republic of Ireland and the Companies Act 2006.

The preparation of financial statements in compliance with FRS 102 requires the use of certain critical accounting estimates. It also requires management to exercise judgement in applying the Company's accounting policies (see note 3).

The following principal accounting policies have been applied:

2.2 Financial reporting standard 102 - reduced disclosure exemptions

The Company has taken advantage of the following disclosure exemptions in preparing these financial statements, as permitted by the FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland":

- the requirements of Section 7 Statement of Cash Flows;
- the requirements of Section 3 Financial Statement Presentation paragraph 3.17(d);
- the requirements of Section 11 Financial Instruments paragraphs 11.42, 11.44 to 11.45, 11.47, 11.48(a)(iii), 11.48(a)(iv), 11.48(b) and 11.48(c);
- the requirements of Section 12 Other Financial Instruments paragraphs 12.26 to 12.27, 12.29(a), 12.29(b) and 12.29A;
- the requirements of Section 33 Related Party Disclosures paragraph 33.7.

This information is included in the consolidated financial statements of Cardiff City Football Club (Holdings) Limited as at 31 May 2021 and these financial statements may be obtained from Companies House.

2. Accounting policies (continued)

2.3 Going concern

In assessing the appropriateness of the going concern assumption, the Directors have produced detailed cash flow forecasts which extend to the end of the 2022/2023 football season.

It is acknowledged that the global and UK outbreak of Covid-19 in early 2020 has had a profound impact on the Company and the Group for the period since that date and right through to the date of these accounts being reported on.

On 31 May 2021, the Company had net liabilities of £142m and net current liabilities of £204m of which £81.8m was owed to shareholders and connected parties.

As noted in the strategic review, as a result of the pandemic there was a temporary cessation of the 2019/20 football season and although the postponed matches recommenced in June 2020 and season 2020/21 commenced as normal from a match timing perspective all games remained being played behind closed doors. This has had a significant impact on the Club's match day income generation since the outbreak of the pandemic and has continued for the entirety of season 2020/21.

As such the directors continued with the various proactive measures introduced in 2020 for season 2020/21 to partially mitigate this impact, including cost review and control mechanisms and utilisation of the UK Government Job Retention Scheme for its employees as required.

The resumption of competitive football in June 2020 allowed the Club to fulfil its fixtures for the remaining games of season 2019/20 and the entirety of season 2020/21 and also allowed the EFL to continue to deliver the league, and therefore the associated central revenues.

At the time of issuing these accounts season 2021/22 has commenced with the removal of most pandemic restrictions, the ending of behind closed doors and the return of spectators from the first game of the season. While there are no guarantees that this situation will remain in place and will be dependent upon how the pandemic reacts to the opening of society with the removal of the accompanying restrictions, this will undoubtedly improve the Company's trading position for the season ahead and the future.

Despite this return to a more normal match day operation, the Club has continued to look at secondary income generation through online commercial activity and the hiring out of the stadium to other organisations, which will continue while we build up to pre pandemic levels of match day attendance and match day income.

Considering the ongoing operating losses along with the impacts both actual and potential of COVID 19, the directors have modelled various forecast scenarios which indicate that the Company will be required to secure additional shareholder funding which is not yet guaranteed. This represents a material uncertainty that may cast significant doubt over the Club's ability to continue as a going concern.

However, with both the resumption of EFL activities under pre-pandemic operations, actions taken by the Directors regarding significant financial and operational adjustments and a non binding letter of support from the principal shareholder, it is the opinion of the directors that the club will remain solvent for the foreseeable future.

2. Accounting policies (continued)

2.3 Going concern (continued)

As such, while there will always remain inherent uncertainty, a gradual return to the Club's previous financial position is expected in the medium/long term and the Directors have therefore concluded that it is appropriate for the financial statements to be prepared on the going basis.

The financial statements do not include any adjustments that would result if the going concern basis of preparation were to become no longer appropriate.

2.4 Revenue

Revenue is measured at the fair value of the consideration received or receivable and represents amounts receivable in the normal course of business, net of discounts, VAT and other sales-related tax.

Gate receipts, other match day revenue and prize money in respect of cup competitions are recognised as the games are played. Sponsorship and similar commercial income is recognised over the duration of the respective contracts where it is probable that the income will be received. The fixed element of broadcasting revenues is recognised over the duration of the football season, based on matches played, whilst facility fees received for live coverage or highlights are taken when earned. Merit awards in excess of the minimum receivable are accounted for only when known at the end of the football season.

Merchandising revenue is recognised when goods are delivered and title has passed.

2.5 Operating leases: the Company as lessee

Rentals paid under operating leases are charged to profit or loss on a straight line basis over the lease term.

Benefits received and receivable as an incentive to sign an operating lease are recognised on a straight line basis over the lease term, unless another systematic basis is representative of the time pattern of the lessee's benefit from the use of the leased asset.

2.6 Government grants

Grants are accounted under the accruals model as permitted by FRS 102. Grants relating to expenditure on tangible fixed assets are credited to profit or loss at the same rate as the depreciation on the assets to which the grant relates. The deferred element of grants is included in creditors as deferred income.

Grants of a revenue nature are recognised in the Statement of Comprehensive Income in the same period as the related expenditure.

The Company recognises government grants related to the Coronavirus Job Retention Scheme as other income when the grant become receivable.

2.7 Interest income

Interest income is recognised in profit or loss using the effective interest method.

2. Accounting policies (continued)

2.8 Finance costs

Finance costs of borrowings are recognised in the Statement of Comprehensive Income using the effective interest method. The effective interest rate is the rate that exactly discounts estimated future cash flows through the expected life of the borrowing.

Any non-current assets acquired on deferred terms are recorded at the discounted present value at the date of acquisition. The associated payable is then increased to the settlement value over the period of deferral, with this value being charged as a notional finance cost through the Statement of Comprehensive Income.

2.9 Borrowing costs

All borrowing costs are recognised in profit or loss in the year in which they are incurred.

2.10 Pensions

Defined contribution pension plan

The Company operates a defined contribution plan for its employees. A defined contribution plan is a pension plan under which the Company pays fixed contributions into a separate entity. Once the contributions have been paid the Company has no further payment obligations.

The contributions are recognised as an expense in profit or loss when they fall due. Amounts not paid are shown in accruals as a liability in the Statement of Financial Position. The assets of the plan are held separately from the Company in independently administered funds.

2.11 Foreign currency translation

Functional and presentation currency

The Company's functional and presentational currency is GBP.

Transactions and balances

Foreign currency transactions are translated into the functional currency using the spot exchange rates at the dates of the transactions.

At each period end foreign currency monetary items are translated using the closing rate. Non-monetary items measured at historical cost are translated using the exchange rate at the date of the transaction and non-monetary items measured at fair value are measured using the exchange rate when fair value was determined.

Foreign exchange gains and losses resulting from the settlement of transactions and from the translation at period-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in profit or loss except when deferred in other comprehensive income as qualifying cash flow hedges.

Foreign exchange gains and losses that relate to borrowings and cash and cash equivalents are presented in the Statement of Comprehensive Income within 'finance income or costs'. All other foreign exchange gains and losses are presented in profit or loss within 'other operating income'.

2. Accounting policies (continued)

2.12 Current and deferred taxation

The tax expense for the year comprises current and deferred tax. Tax is recognised in profit or loss except that a charge attributable to an item of income and expense recognised as other comprehensive income or to an item recognised directly in equity is also recognised in other comprehensive income or directly in equity respectively.

The current income tax charge is calculated on the basis of tax rates and laws that have been enacted or substantively enacted by the reporting date in the countries where the Company operates and generates income.

Deferred tax balances are recognised in respect of all timing differences that have originated but not reversed by the Statement of Financial Position date, except that:

- The recognition of deferred tax assets is limited to the extent that it is probable that they will be recovered against the reversal of deferred tax liabilities or other future taxable profits; and
- Any deferred tax balances are reversed if and when all conditions for retaining associated tax allowances have been met.

Deferred tax balances are not recognised in respect of permanent differences except in respect of business combinations, when deferred tax is recognised on the differences between the fair values of assets acquired and the future tax deductions available for them and the differences between the fair values of liabilities acquired and the amount that will be assessed for tax. Deferred tax is determined using tax rates and laws that have been enacted or substantively enacted by the reporting date.

2.13 Player costs and transactions

(i) Initial capitalisation
The costs associated with the acquisition of player registrations are capitalised as intangible fixed assets. Any intangible assets acquired on deferred terms are recorded at the fair value at the date of acquisition. The fair value represents the net present value of the costs of acquiring players.

(ii) Amortisation
These costs are fully amortised on a straight-line basis over their useful economic lives, being the period of the respective contracts. Where a contract life is renegotiated, the unamortised costs, together with the new costs relating to the contract extension, are amortised over the term of the new contract.

(iii) Contingent consideration
Under the conditions of certain transfer agreements, further fees will be payable to the vendors in the event of the players concerned making a number of certain number of First Team appearances or on the occurrence of certain other specified future events. Liabilities in respect of these additional transfer related costs not recognised at date of acquisition are accounted for when they become probable, which is typically when they are confirmed, and taken directly to the Statement of Comprehensive Income.

(iv) Impairment
The Company will perform an impairment review on the intangible assets if events or changes in circumstances give cause for a player to be taken out of the football club cash generating unit ("CGU") and that indicate that the carrying amount of the player may not be fully recoverable. The Company compares the carrying amount of the player's registration with its recoverable amount. Impairment losses are recognised in profit or loss during the period and are included within administrative expenses in the Statement of Comprehensive Income.

2. Accounting policies (continued)

2.12 Player costs and transactions (continued)

The Company considers the recoverable amounts of individual player registrations, being the higher of their fair value less costs to sell and their value in use. The Company estimates fair value less costs to sell using one of the following sources:

- in the case of a player who has permanently fallen out with the Company's senior football management and directors, either the agreed selling price in the event that there is an agreement to transfer the player subsequent to the year end; or if there have not been any bids for the player, management's best estimation of the disposal proceeds (less costs) of the player on an arm's length basis. This is determined by the Company's senior football management in conjunction with the directors who will use the outcome of recent player disposals (by both the Company and other football clubs) as a basis for their estimation. Any costs to sell, such as agency costs are deducted from the fair value; or

- in the case of a player who has suffered a career-threatening injury or condition, the value attributed to the player by the Company's insurers.

(v) Disposals
Profits or losses on the disposal of these player registrations represent the fair value of the consideration receivable, net of any transaction costs, less the unamortised cost of the original registration.

(vi) Remuneration
Remuneration of players is charged in accordance with the terms of the applicable contractual agreements and any discretionary bonus when there is a legal or contractual obligation. Liabilities in respect of player signing-on or loyalty fees are capitalised and then amortised over the term of the contract.

Discretionary bonuses, e.g. appearance fees, win/draw bonuses, are provided for, as part of operating expenses, when payment becomes probable or due contractually.

2.14 Tangible fixed assets

Tangible fixed assets under the cost model are stated at historical cost less accumulated depreciation and any accumulated impairment losses. Historical cost includes expenditure that is directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management.

The Company adds to the carrying amount of an item of fixed assets the cost of replacing part of such an item when that cost is incurred, if the replacement part is expected to provide incremental future benefits to the Company. The carrying amount of the replaced part is derecognised. Repairs and maintenance are charged to profit or loss during the period in which they are incurred.

2. Accounting policies (continued)

2.14 Tangible fixed assets (continued)

Depreciation is charged so as to allocate the cost of assets less their residual value over their estimated useful lives, using the straight-line method.

Depreciation is provided on the following basis:

Cardiff City Stadium	- 2%
Training ground improvements	- 10%
Motor vehicles	- 25%
Fixtures and equipment	- 10-25%

The assets' residual values, useful lives and depreciation methods are reviewed, and adjusted prospectively if appropriate, or if there is an indication of a significant change since the last reporting date.

Gains and losses on disposals are determined by comparing the proceeds with the carrying amount and are recognised in profit or loss.

2.15 Revaluation of tangible fixed assets

Individual freehold and leasehold properties are carried at current year value at fair value at the date of the revaluation less any subsequent accumulated depreciation and subsequent accumulated impairment losses. Revaluations are undertaken with sufficient regularity to ensure the carrying amount does not differ materially from that which would be determined using fair value at the Statement of Financial Position date.

Fair values are determined from market based evidence normally undertaken by professionally qualified valuers.

Revaluation gains and losses are recognised in other comprehensive income unless losses exceed the previously recognised gains or reflect a clear consumption of economic benefits, in which case the excess losses are recognised in profit or loss.

2.16 Impairment of fixed assets

Assets that are subject to depreciation or amortisation are assessed at each reporting date to determine whether there is any indication that the assets are impaired. Where there is any indication that an asset may be impaired, the carrying value of the asset (or cash-generating unit to which the asset has been allocated) is tested for impairment. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's (or CGU's) fair value less costs to sell and value in use. For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash flows (CGUs). Non-financial assets that have been previously impaired are reviewed at each reporting date to assess whether there is any indication that the impairment losses recognised in prior periods may no longer exist or may have decreased.

2. Accounting policies (continued)

2.17 Stocks

Stocks are stated at the lower of cost and net realisable value, being the estimated selling price less costs to complete and sell. Cost is based on the cost of purchase on a first in, first out basis. Work in progress and finished goods include labour and attributable overheads.

At each reporting date, stocks are assessed for impairment. If stock is impaired, the carrying amount is reduced to its selling price less costs to complete and sell. The impairment loss is recognised immediately in profit or loss.

2.18 Debtors

Short term debtors are measured at transaction price, less any impairment. Loans receivable are measured initially at fair value, net of transaction costs, and are measured subsequently at amortised cost using the effective interest method, less any impairment.

2.19 Cash and cash equivalents

Cash is represented by cash in hand and deposits with financial institutions repayable without penalty on notice of not more than 24 hours. Cash equivalents are highly liquid investments that mature in no more than three months from the date of acquisition and that are readily convertible to known amounts of cash with insignificant risk of change in value.

2.20 Creditors

Short term creditors are measured at the transaction price. Other financial liabilities, including bank loans, are measured initially at fair value, net of transaction costs, and are measured subsequently at amortised cost using the effective interest method.

2.21 Provisions for liabilities

Provisions are made where an event has taken place that gives the Company a legal or constructive obligation that probably requires settlement by a transfer of economic benefit, and a reliable estimate can be made of the amount of the obligation.

Provisions are charged as an expense to profit or loss in the year that the Company becomes aware of the obligation, and are measured at the best estimate at the Statement of Financial Position date of the expenditure required to settle the obligation, taking into account relevant risks and uncertainties.

When payments are eventually made, they are charged to the provision carried in the Statement of Financial Position.

2.22 Financial instruments

The Company only enters into basic financial instrument transactions that result in the recognition of financial assets and liabilities like trade and other debtors and creditors, loans from banks and other third parties, loans to related parties and investments in ordinary shares.

Debt instruments (other than those wholly repayable or receivable within one year), including loans and other accounts receivable and payable, are initially measured at present value of the future cash flows and subsequently at amortised cost using the effective interest method. Debt instruments that are payable or receivable within one year, typically trade debtors and creditors, are measured, initially and subsequently, at the undiscounted amount of the cash or other consideration expected to be paid or received. However, if the arrangements of a short-term instrument constitute a financing

2. Accounting policies (continued)

2.22 Financial instruments (continued)

transaction, like the payment of a trade debt deferred beyond normal business terms or in case of an out-right short-term loan that is not at market rate, the financial asset or liability is measured, initially at the present value of future cash flows discounted at a market rate of interest for a similar debt instrument and subsequently at amortised cost, unless it qualifies as a loan from a director in the case of a small company, or a public benefit entity concessionary loan.

The proceeds received on issue of convertible debt are allocated into their liability and equity components and presented separately in the Statement of Financial Position. The amount initially attributed to the debt component equals the discounted cash flows using a market rate of interest that would be payable on a similar debt instrument that did not include an option to convert. The difference between the net proceeds of the convertible debt and the amount allocated to the debt component is credited direct to equity and is not subsequently remeasured. On conversion, the debt and equity elements are credited to share capital and share premium as appropriate. Transaction costs that relate to the issue of the instrument are allocated to the liability and equity components of the instrument in proportion to the allocation of proceeds.

Financial assets that are measured at cost and amortised cost are assessed at the end of each reporting period for objective evidence of impairment. If objective evidence of impairment is found, an impairment loss is recognised in the Statement of Comprehensive Income.

For financial assets measured at amortised cost, the impairment loss is measured as the difference between an asset's carrying amount and the present value of estimated cash flows discounted at the asset's original effective interest rate. If a financial asset has a variable interest rate, the discount rate for measuring any impairment loss is the current effective interest rate determined under the contract.

For financial assets measured at cost less impairment, the impairment loss is measured as the difference between an asset's carrying amount and best estimate of the recoverable amount, which is an approximation of the amount that the Company would receive for the asset if it were to be sold at the reporting date.

Financial assets and liabilities are offset and the net amount reported in the Statement of Financial Position when there is an enforceable right to set off the recognised amounts and there is an intention to settle on a net basis or to realise the asset and settle the liability simultaneously.

3. Judgements in applying accounting policies and key sources of estimation uncertainty

In preparing the financial statements, management is required to make estimates and assumptions which affect reported income, expenses, assets, liabilities and disclosure of contingent assets and liabilities. Use of available information and application of judgement are inherent in the formation of estimates, together with past experience and expectations of future events that are believed to be reasonable under the circumstances. Actual results in the future could differ from such estimates.

The directors consider the following areas to involve considerable degree of estimation uncertainty:

Recoverable amount of non-current assets

All non-current assets, including property, plant and equipment and intangible assets, are reviewed for potential impairment using estimates of the future economic benefits attributable to them. Such estimates involve assumptions in relation to future ticket income, media and sponsorship revenue and on-pitch performance. Any estimates of future economic benefits made in relation to non-current assets may differ from the benefits that ultimately arise, and materially affect the recoverable value of the asset.

4. Turnover

An analysis of turnover by class of business is as follows:

	2021 £000	2020 £000
Gate receipts & match day income	**1,124**	3,727
Centralised broadcasting & commercial distributions	**48,434**	36,840
Sponsorship, advertising & other commercial income	**5,551**	4,338
	55,109	44,905

All turnover arose within the United Kingdom.

5. Other operating income

	2021 £000	2020 £000
Furlough claim income	**398**	424
Profit on disposal of tangible assets	**3**	-
	401	424

6. Operating loss

The operating loss is stated after (crediting)/charging:

	2021 £000	2020 £000
Rent receivable	(36)	(37)
Other operating lease rentals	518	380
Amortisation	15,416	17,769
Impairment of player registrations	3,153	67
Depreciation	2,571	2,629

7. Auditors' remuneration

	2021 £000	2020 £000
Fees payable to the Company's auditor and its associates for the audit of the Company's annual financial statements	55	50

The Company has taken advantage of the exemption not to disclose amounts paid for non audit services as these are disclosed in the group accounts of the parent Company.

8. Employees

Staff costs, including directors' remuneration, were as follows:

	2021 £000	2020 £000
Wages and salaries	29,574	31,504
Social security costs	3,754	3,985
Cost of defined contribution scheme	169	151
	33,497	35,640

Included in the above is £25,963,000 (2020: £27,880,000) in respect of player related wages.

The average monthly number of employees, including the directors, during the year was as follows:

	2021 No.	2020 No.
Players	49	57
Other staff	135	152
	184	209

9. Directors' remuneration

	2021 £000	2020 £000
Directors' emoluments	315	309
Directors' emoluments - paid as tax on other benefits	98	198
Social security costs	56	69
Other benefits	81	136
	550	712

The highest paid director received remuneration of £413,000 (2020 - £507,000).

The value of the Company's contributions paid to a defined contribution pension scheme in respect of the highest paid director amounted to £15,000 (2020 - £15,000).

10. Interest receivable

	2021 £000	2020 £000
Bank interest receivable	1	25
	1	25

11. Interest payable and similar expenses

	2021 £000	2020 £000
Related undertakings interest and associated withholding tax	1,254	123
Other interest payable	632	2,006
	1,886	2,129

12. Taxation

	2021 £000	2020 £000
Total current tax	-	-
Deferred tax		
Total deferred tax	-	-
Taxation on loss on ordinary activities	-	-

Factors affecting tax charge for the year

The tax assessed for the year differs from the standard rate of corporation tax in the UK of 19% (2020 - 19%). The differences are explained below:

	2021 £000	2020 £000
Loss on ordinary activities before tax	**(11,007)**	(11,681)
Loss on ordinary activities multiplied by standard rate of corporation tax in the UK of 19% (2020 - 19%)	**(2,091)**	(2,219)
Effects of:		
Expenses not deductible for tax purposes	**96**	60
Capital allowances for year in excess of depreciation	**427**	440
Other permanent differences	**55**	39
Deferred tax relating to other comprehensive income	**(812)**	(271)
Deferred tax not recognised	**11,955**	4,824
Remeasurement of deferred tax for changes in tax rates	**(9,630)**	(2,873)
Total tax charge for the year	-	-

A deferred tax liability of £3.4m (2020: £2.6m) has been recognised in respect of the potential chargeable gain based on the revaluation of the stadium. The assets and liabilities are not offset as the Company does not intend to realise the asset and settle the liability at the same time. The increase in the deferred tax liability solely relates to the change in future tax rates.

A further potential deferred tax asset exists at the reporting date in respect of additional tax losses carried forward. The potential deferred tax asset offsets a deferred tax liability in respect of fixed asset timing differences (other than the chargeable gain). This has not been recognised in the financial statements as there is insufficient evidence that the overall asset will be recoverable. Tax losses carried forward at the reporting date were £177m (2020: £168m). No deferred tax asset has been recognised in respect of these losses.

13. Intangible assets

	Player registrations £000
Cost	
At 1 June 2020	**61,114**
Additions	**5,209**
Disposals	**(11,488)**
At 31 May 2021	**54,835**
Amortisation and impairment	
At 1 June 2020	**36,912**
Charge for the year on owned assets	**15,416**
On disposals	**(11,153)**
Impairment charge	**3,153**
At 31 May 2021	**44,328**
Net book value	
At 31 May 2021	**10,507**
At 31 May 2020	24,202

Amortisation of £15,416,000 (2020: £17,769,000) and impairment of £3,153,000 (2020: £67,000) have been charged and included as part of administration expenses in the Statement of Comprehensive Income as disclosed in note 2.12.

The average remaining amortisation period per player contract as at 31 May 2021 is 11 months (2020: 16 months).

14. Tangible fixed assets

	Cardiff City Stadium £000	Training ground improvements £000	Motor vehicles £000	Fixtures and equipment £000	Total £000
Cost or valuation					
At 1 June 2020	85,321	1,129	82	3,494	90,026
Additions	-	-	-	86	86
Disposals	-	-	(72)	(24)	(96)
At 31 May 2021	85,321	1,129	10	3,556	90,016
Depreciation					
At 1 June 2020	4,342	815	53	2,325	7,535
Charge for the year on owned assets	2,209	39	2	321	2,571
Disposals	-	-	(47)	(24)	(71)
At 31 May 2021	6,551	854	8	2,622	10,035
Net book value					
At 31 May 2021	78,770	275	2	934	79,981
At 31 May 2020	80,979	314	29	1,169	82,491

Cardiff City Stadium land is held on a 150-year lease from Cardiff City Council which commenced in September 2009. Cardiff City Council provided a capital contribution towards the cost of the new stadium project. The capital contribution is secured by way of first charge over Cardiff City Stadium leasehold property.

As at 31 May 2018 the Company sought professional advice from Savills (UK) Limited (RICS registered valuers) as to the valuation of the stadium at the year-end date and were advised that the carrying value based on a depreciated replacement cost basis equated to £83,500,000, an increase of £29,253,000 from the previous carrying value.

If the land and buildings had not been included at valuation they would have been included under the historical cost convention as follows:

	2021 £000	2020 £000
Cost	43,073	43,073
Accumulated depreciation	(9,782)	(8,920)
Net book value	33,291	34,153

15. Stocks

	2021 £000	2020 £000
Stocks	216	207

16. Debtors

	2021 £000	2020 £000
Due after more than one year		
Football receivables	537	5,925

	2021 £000	2020 £000
Due within one year		
Trade debtors	661	280
Football receivables	6,568	7,119
Amounts owed by group undertakings	6,814	5,794
Other debtors	466	409
Prepayments and accrued income	646	312
	15,155	13,914

Amounts owed by group undertakings are interest free and repayable on demand.

17. Creditors: Amounts falling due within one year

	2021 £000	2020 £000
Other loans	**8,652**	37,619
Loans from shareholders and connected parties	**60,970**	45,933
Loans from directors and other connected parties	**20,800**	3,000
Trade creditors	**754**	765
Football payables	**500**	3,866
Amounts owed to group undertakings	**113,011**	112,248
Other taxation and social security	**2,919**	2,717
Other creditors	**2,459**	3,549
Accruals and deferred income	**12,076**	20,228
	222,141	229,925

Loans from shareholders and connected parties
The key terms of the interest bearing loan with conversion rights are:

- interest accrues on the £38,667,000 interest bearing element (£22,303,000 is non-interest bearing) at an annual rate of 7%;
- the loans are secured by way of a charge over the assets and undertaking of the Company; and
- the lender has the right to convert that element of the loan that is interest bearing with conversion rights, including accrued interest, into equity at any time, at a fixed conversion price of 15.69 pence per share.

The key terms of the non-interest bearing loan without conversion rights is:

- the loans are secured by way of a charge over the assets and undertaking of the Company.

Loans from directors and other connected parties
Included above is a £3m loan (2020: £3m) from U-Peng Tan, the son of the ultimate controlling party, which has the same terms and conditions as the shareholder loans described above.

Also included is a loan from a director of £2,000,000 and a loan of £15,800,000 from Tormen Finance Inc, a company in which a director of the Company has significant influence over, which bear interest at 9% per annum.

Other loans
Included within other loans is an amount of £Nil (2020: £32.5m) which is secured on guaranteed future revenue streams. A further amount of £5,875,000 (2020: £10.9m) is secured on deferred player proceeds which are included within football receivables in note 16.

Also included within other loans is an amount of £6,248,000 relating to an interest-free EFL loan, £2,777,000 of which is due within one year and £3,471,000 due in more than on year.

Amounts owed to group undertakings are interest free and repayable on demand.

Included within other creditors is £Nil (2020: £2,091,000) relating to clawback amounts owed to the English Premier League.

Included within accruals and deferred income is £Nil (2020: £8,765,000) of deferred income relating to the 2019/20 season's matches postponed until after the year end.

18. Creditors: Amounts falling due after more than one year

	2021 £000	2020 £000
Other loans	3,471	5,875
Football payables	400	8
	3,871	5,883

19. Financial instruments

	2021 £000	2020 £000
Financial assets		
Financial assets measured at fair value through profit or loss	1,765	2,388
Financial assets that are debt instruments measured at amortised cost	15,258	19,839
	17,023	22,227
Financial liabilities		
Financial liabilities measured at amortised cost	(223,035)	(235,808)

Financial assets measured at fair value through profit or loss comprise cash at bank and in hand.

Financial assets that are debt instruments measured at amortised cost comprise trade debtors, amounts owed by group undertakings, other debtors and accrued income.

Financial liabilities measured at amortised cost comprise loans, trade creditors, amounts owed to group undertakings, other creditors and accruals.

20. Deferred taxation liability

	2021 £000
At beginning of year	(2,573)
Charged to other comprehensive income	(812)
At end of year	(3,385)

20. Deferred taxation liability (continued)

The provision for deferred taxation is made up as follows:

	2021 £000	2020 £000
Revaluation of property	(3,385)	(2,573)
	(3,385)	(2,573)

21. Provisions

	Other provisions £000
At 1 June 2020	20,703
Credited to profit or loss	(163)
At 31 May 2021	20,540

22. Share capital

	2021 £000	2020 £000
Allotted, called up and fully paid		
4,032,008 (2020 - 4,032,008) Ordinary shares of £0.50 each	2,016	2,016

23. Reserves

Share premium account

This reserve records the excess paid on shares issued.

Revaluation reserve

This reserve records the historical revaluations net of related deferred tax.

Profit and loss account

This reserve records retained earnings and accumulated losses.

24. Contingent liabilities

The Company has commitments under player registration transfer contracts with other football clubs to pay up to £5,916,000 (2020: £7,090,000) which are conditional upon one or more future events. Given that such future events are not yet considered probable, no provision has been made for these amounts in these financial statements.

As disclosed in the prior year accounts, a claim has been made against the Company for alleged non-performance of obligation under a previous settlement arrangement. The Board are advised that the claim is misconceived and that no provision is required in the accounts.

In respect of an ongoing contractual dispute with another football club that arose in January 2019, the Club has lodged an appeal with the Court of Arbitration for Sport ("CAS") against an earlier ruling by FIFA.

Although the Directors, after taking legal advice, are of the opinion that the appeal has good prospects of success and will achieve a favourable outcome, no decision has yet been made by CAS. Due to the uncertainty involved, the Directors have included adequate provision in these accounts should their appeal be unsuccessful.

25. Pension commitments

The Company operates a defined contributions pension scheme. The assets of the scheme are held separately from those of the Company in an independently administered fund. The pension cost charge represents contributions payable by the Company to the fund and amounted to £169,000 (2020: £151,000). Contributions totalling £33,000 (2020: £28,000) were payable to the fund at the reporting date and are included in creditors.

26. Commitments under operating leases

At 31 May 2021 the Company had future minimum lease payments due under non-cancellable operating leases for each of the following periods:

	2021 £000	2020 £000
Not later than 1 year	**543**	540
Later than 1 year and not later than 5 years	**1,740**	2,000
Later than 5 years	**247**	515
	2,530	3,055

27. Related party transactions

The Company has taken exemption under FRS 102 section 33.1A from disclosing transactions with group companies, on the grounds that each company party to the transactions is wholly owned within the group.

Transactions with related parties
During the year the Company received loan advances from a director of £2,000,000 (2020: £4,000,000), which was unpaid at year end. The interest charged in the year amounted to £148,000 (2020: £123,000).

During the year the Company traded with the following companies which have one or more directors in common:

CMB Group of Companies - net purchases of £4,000 (2020: £32,000) in respect of engineering and maintenance services, year end creditor £3,000 (2020: £6,000 debtor).

Cardiff City House of Sport Limited - net purchases of £141,000 (2020: £158,000) in respect of the hire of facilities, year end creditor £nil (2020: £15,000).

HR Owen plc - net sales of £313,000 (2020: £63,000) in respect of sales of match tickets and advertising and purchases of transportation services provided during the year, year end debtor £360,000 (2020: £nil).

Cardiff City FC Foundation - net purchases of £176,000 (2020: £150,000) in respect of charitable activity, year end creditor £nil (2020: £100,000 creditor).

Other related party transactions
During the year the Company traded with WMG Funds Limited, a company in which a director of the Company has significant influence over - net purchases of £297,000 (2020: £236,000) in respect of professional services rendered, year end creditor of £126,000 (2020: £126,000).

During the year the Company traded with and borrowed from entities in which a director of the Company has significant influence over:

Tormen Finance Inc. - advanced £15,800,000 (2020: £nil) to the Company at an interest rate of 9%. The interest charged in the year amounted to £886,000 (2020: £nil).

Tormen Finance Inc. - net purchases of £25,000 (2020: £350,000) in respect of consultation services.

28. Post balance sheet events

Subsequent to the year end and prior to the signing of these financial statements, the Company has acquired player registrations totalling £893,000 of which £Nil is contingent upon one or more future events. These have been funded by additional shareholder loans.

Subsequent to the year end and at the time of the signing of these financial statements, the Company has received funding of £22,100,000 on interest rates of up to 9% per annum. Loans of £3,100,000 have been repaid.

Subsequent to the year end, shareholder loans of £6,642,000 have been assigned to the parent company.

29. Controlling party

The immediate and ultimate parent company throughout the current and previous period is considered to be Cardiff City Football Club (Holdings) Limited due to its majority shareholding in the Company. The ultimate controlling party is considered to be Tan Sri Dato' Seri Vincent Tan Chee Yioun due to his majority shareholding in Cardiff City Football Club (Holdings) Limited, whose registered address is Cardiff City Stadium, Leckwith Road, Cardiff, CF11 8AZ.